

**Busted trade.** If you are lucky enough to trade a busted pattern that single busts, then that's terrific. You could make a nice chunk of cabbage. Since busts happen between 53% and 64% of the time, the odds are on your side.

If the stock double busts, then don't blame me. If the stock triple busts, then the whiplash from bouncing from side to side will make you too dizzy to blame anyone.

One advantage to trading a busted pattern is that you know where the pattern ends, and so you know what the breakout price is (with some broadening patterns, it can be difficult to tell where the pattern ends and the breakout price).

I suggest you trade only downward busted patterns. Buy when the stock closes above the top of the pattern and hang on for the ride.

## Experience

Let me tell you about what I found in my trade review.

### Hughes Supply Inc.

Hughes Supply Inc. (HUG) in the fall of 1999 started forming a broadening formation, right-angled and, yes, ascending. Although my notes go back to 1999, I don't have any for this trade. So let me wing it.

I bought 4 days after the stock touched the lower pattern trendline and received a fill at 13 even. When I bought, the stock hadn't risen much above the lower trendline (priced at 12.56), so I bought near the bottom of the pattern.

Unfortunately, the day I bought the stock peaked and reversed, completing a partial rise when the stock touched the lower trendline. The partial rise correctly predicted a downward breakout, and the stock continued lower. I sold my small position, received a fill at 12.34, and got my hand slapped for a loss of 5%.

I was late entering the trade, but I wanted to be sure price was moving higher, away from the bottom trendline when I bought. That sounds like an excuse, but knowing if price will turn at the trendline seemed like a wise choice. I only gave up 44 cents of profit by waiting.